

Project Horizon

Infosys Limited / Persistent Systems Limited · prepared 2026-07-02

DECLINE

Only 0% probability of Year-2 accretion — earnings risk outweighs strategic merit at this price.

-23.8%

YEAR-1 EPS IMPACT

0%

P(ACCRETIVE BY Y2)

₹-10,387 Cr

NET VALUE CREATED

+18.0%

OFFER PREMIUM

2 · Transaction Summary

Term	Value	Term	Value
Acquirer	Infosys Limited (INFY.NS)	Offer price	₹5,405.11
Target	Persistent Systems Limited (PERSISTENT.NS)	Premium to undisturbed	+18.0%
Negotiated stake	100%	Consideration	40% cash / 60% stock
Equity purchase (negotiated)	₹84,445 Cr	Implied EV / EBITDA	31.7x
Open offer (at 100% acceptance)	₹21,956 Cr	Implied P / E	45.3x

Premium at the 100th percentile of sector precedents (Merger Lab precedent DB; entries marked ILLUSTRATIVE pending filing verification).

3 · Strategic Rationale

- Adds a high-growth digital-engineering franchise to a scaled services platform
- Client roster complementarity: BFSI depth meets ISV/hi-tech engineering
- Illustrative synergies at ~2.5% of target revenue (cross-sell + pyramid costs)

4 • Regulatory Stack — RBI • SEBI SAST • CCI

4a • Sources & Uses across open-offer acceptance scenarios

₹ Cr	0% acceptance	50% acceptance	100% acceptance
Equity purchase (negotiated)	₹84,445 Cr	₹84,445 Cr	₹84,445 Cr
Open offer consideration	₹0 Cr	₹10,978 Cr	₹21,956 Cr
Refinance target debt	₹0 Cr	₹0 Cr	₹0 Cr
Transaction fees	₹1,267 Cr	₹1,431 Cr	₹1,596 Cr
Total uses	₹85,711 Cr	₹96,854 Cr	₹1,07,996 Cr
New acquirer stock	₹50,667 Cr	₹50,667 Cr	₹50,667 Cr
New bank debt	₹17,522 Cr	₹23,093 Cr	₹28,665 Cr
Balance-sheet cash	₹17,522 Cr	₹23,093 Cr	₹28,665 Cr
Total sources	₹85,711 Cr	₹96,854 Cr	₹1,07,996 Cr

4b • RBI acquisition-finance compliance (Amendment Directions 2026, at 100% acceptance)

Check	Value	Threshold	Status	Note
Bank debt $\leq$ 75% of acquisition value	26.9	$\leq$ 75%	PASS	New bank debt Rs 28,665 Cr funds 26.9% of the Rs 106,400 Cr acquisition value.
Acquirer equity contribution $\geq$ 25%	73.5	$\geq$ 25%	PASS	Stock + own cash contribute 73.5% of total funding of Rs 107,996 Cr.
Pro-forma consolidated D/E $\leq$ 3.0x	0.0	$\leq$ 3.0x	PASS	Combined debt Rs 38,061 Cr on pro-forma equity Rs 8,601,834 Cr = 0.00x.
Acquirer net worth $\geq$ Rs 500 Cr	8551167.0	$\geq$ Rs 500 Cr	PASS	Acquirer net worth Rs 8,551,167 Cr.
3-year profitability track record	True	user-attested	PASS	Attested by user; verify against 3 years of audited financials.

Optimal mix is constrained: binding constraint(s) — Acquirer cash on hand. Year-1 accretion at the constrained optimum is -22.97%. Optimal mix: 13% cash / 87% stock, 0% of cash needs debt-funded → Year-1 -23.0%.

4c • SEBI Takeover Code (SAST 2011)

Acquiring 100% crosses the 25% threshold -> mandatory open offer for 26% of the target at the floor price (modeled at the Rs 5,405 offer price; real floor is the highest-of tests incl. 60-day VWAP).

- 0% acceptance: buy 0.00 Cr shares for Rs 0 Cr; post-offer holding 100.0%. BREACHES 75% MPS — must sell down within 12 months or pursue delisting (requires 90%).
- 50% acceptance: buy 2.03 Cr shares for Rs 10,978 Cr; post-offer holding 100.0%. BREACHES 75% MPS — must sell down within 12 months or pursue delisting (requires 90%).
- 100% acceptance: buy 4.06 Cr shares for Rs 21,956 Cr; post-offer holding 100.0%. BREACHES 75% MPS — must sell down within 12 months or pursue delisting (requires 90%).

4d • CCI merger control

Deal value Rs 84,445 Cr exceeds the Rs 2,000 Cr deal-value threshold (2024 amendment) — CCI approval required; expect ~150-210 days outer timeline, Green Channel possible if no overlaps.

5 • Accretion / Dilution Analysis

Year	Combined NI (₹ Cr)	Pro-forma shares (Cr)	Pro-forma EPS	Standalone EPS	Accretion / (Dilution)
Year 1	₹26,085 Cr	453.57	₹57.51	₹75.47	-23.80%
Year 2	₹26,310 Cr	453.57	₹58.01	₹75.47	-23.14%
Year 3	₹26,384 Cr	453.57	₹58.17	₹75.47	-22.92%

Break-even synergies (Year 1): ₹22,171 Cr vs ₹400 Cr assumed run-rate.

Target earnings yield at offer 1.8% vs blended after-tax financing cost 6.3% -> heuristic says DILUTIVE; engine Year-1 says DILUTIVE.

Contribution analysis

Metric	Acquirer %	Target %
Revenue	92.7	7.3
EBITDA	94.0	6.0
Net income	94.2	5.8
Pro-forma ownership	89.3	10.7

Sensitivity — Year-1 accretion %

Premium (rows) × run-rate synergies ₹ Cr (columns)

Premium % \ Synergies Cr	0.0	100.0	200.0	300.0	400.0	500.0	600.0	700.0	800.0
8.0	-16.69	-16.58	-16.47	-16.36	-16.25	-16.14	-16.03	-15.92	-15.81
10.5	-17.17	-17.06	-16.95	-16.84	-16.73	-16.62	-16.51	-16.40	-16.29
13.0	-17.65	-17.54	-17.43	-17.32	-17.21	-17.10	-16.99	-16.88	-16.77
15.5	-18.13	-18.02	-17.91	-17.80	-17.69	-17.58	-17.47	-17.36	-17.25
18.0	-18.60	-18.49	-18.38	-18.27	-18.16	-18.06	-17.95	-17.84	-17.73
20.5	-19.07	-18.97	-18.86	-18.75	-18.64	-18.53	-18.42	-18.31	-18.20
23.0	-19.55	-19.44	-19.33	-19.22	-19.11	-19.00	-18.89	-18.78	-18.68
25.5	-20.01	-19.91	-19.80	-19.69	-19.58	-19.47	-19.36	-19.25	-19.15
28.0	-20.48	-20.37	-20.26	-20.16	-20.05	-19.94	-19.83	-19.72	-19.61

% cash consideration (rows) × premium (columns)

% Cash \ Premium %	8.0	10.5	13.0	15.5	18.0	20.5	23.0	25.5	28.0
0	-16.80	-17.26	-17.72	-18.18	-18.63	-19.08	-19.53	-19.97	-20.41
10	-16.67	-17.14	-17.60	-18.06	-18.52	-18.98	-19.43	-19.88	-20.33
20	-16.53	-17.01	-17.48	-17.94	-18.41	-18.87	-19.33	-19.78	-20.24
30	-16.39	-16.87	-17.35	-17.82	-18.29	-18.76	-19.22	-19.68	-20.14
40	-16.25	-16.73	-17.21	-17.69	-18.16	-18.64	-19.11	-19.58	-20.05
50	-16.10	-16.59	-17.07	-17.56	-18.04	-18.52	-19.00	-19.47	-19.95
60	-15.94	-16.44	-16.93	-17.42	-17.90	-18.39	-18.88	-19.36	-19.84
70	-15.78	-16.28	-16.78	-17.27	-17.77	-18.26	-18.75	-19.24	-19.73
80	-15.62	-16.12	-16.62	-17.12	-17.62	-18.12	-18.62	-19.12	-19.62
90	-15.44	-15.95	-16.46	-16.97	-17.48	-17.98	-18.49	-19.00	-19.50
100	-15.27	-15.78	-16.29	-16.81	-17.32	-17.84	-18.35	-18.86	-19.38

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5.5 · Value Creation Assessment

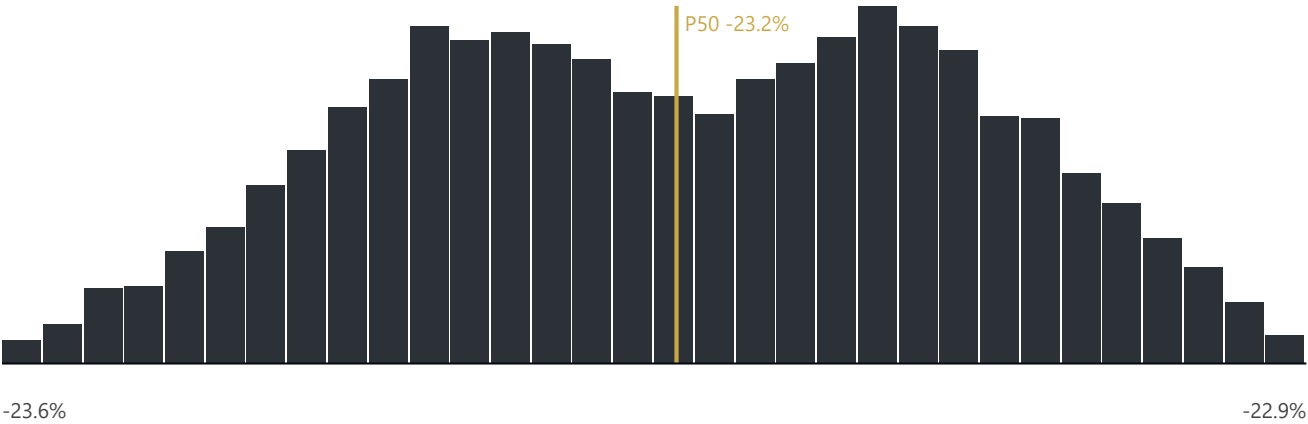
Bridge component	₹ Cr
PV of after-tax synergies (perpetuity at 12.0% WACC)	₹2,494 Cr
Control premium paid	(₹12,881 Cr)
Net value created / (destroyed)	₹-10,387 Cr

Incremental ROIC 2.0% vs WACC 12.0% — **returns below the cost of capital.**

6 · Risk Analysis

Probability of accretion by Year 2: 0% (P5: -23.5%, P95: -23.0%). Year-1: P5 -24.3% · P50 -23.9% · P95 -23.6%.

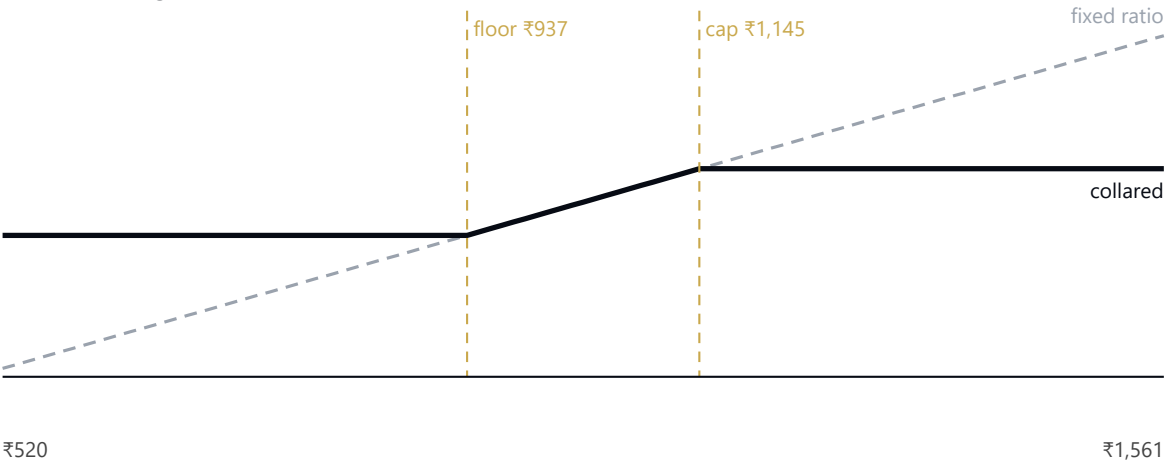
Year-2 accretion distribution (10,000 iterations)



Exchange-ratio collar (stock component)

Target shareholders receive 3.1156 acquirer shares per target share, collared between Rs 937 and Rs 1,145. They are long a put at the floor (worth Rs 28.22/acquirer share) and short a call at the cap (worth Rs 57.86), a net cost of Rs 92.35 per target share at 29% vol over 6 months. The floor guarantees at least Rs 2,918.76 of value per target share if the acquirer's stock falls; in exchange, upside beyond Rs 3,567.37 is surrendered to the acquirer. The acquirer bears the cost of the downside protection as potential extra dilution when its stock trades below the floor at close.

Value per target share at close (₹)



Key risks

- Attrition of key engineering talent post-close
- Revenue dis-synergies from client overlap audits
- Stock consideration exposes target holders to acquirer multiple compression

7 • Appendix — Methodology & Sources

- Engine: Year 1–3 pro-forma EPS vs standalone acquirer EPS held flat; combined NI = acquirer NI + owned% × target NI + after-tax phased synergies – after-tax new interest – after-tax foregone cash yield – after-tax incremental D&A – after-tax Year-1 integration costs.
- PPA: intangible write-up on excess over owned book value, DTL at deal tax rate, straight-line amortization; PP&E step-up out of scope.
- RBI: Commercial Banks – Credit Facilities (Amendment) Directions 2026 — 75% funding cap, 25% equity floor, 3:1 consolidated D/E, ₹500 Cr net worth, 3-yr profitability (user-attested). Verify against the master direction.
- SEBI SAST 2011: 25% open-offer trigger, minimum 26% offer size; floor modeled at deal offer price (real floor = highest-of tests incl. 60-day VWAP). MPS per SCRR 19A.
- Monte Carlo: 10,000 seeded iterations; synergies triangular (50/100/130% of base), integration costs lognormal, phase-in delay discrete.
- Value bridge: after-tax synergy perpetuity at user WACC (0% growth) less control premium on shares acquired.
- Data: yfinance (prices, financials), Screener.in exports (fundamentals fallback), curated precedent DB from SEBI SAST letters of offer and NSE/BSE filings. Debt cost anchored to RBI DBIE lending-rate publications; risk-free = 10Y G-Sec (CCIL/FIMMDA). No paid APIs, no scraping, no LLM calls.
- **Disclaimer:** Illustrative analysis on public data for portfolio demonstration. Precedent entries marked ILLUSTRATIVE are unverified. Not investment advice, not a solicitation, not a fairness opinion.